# Entain plc (LSE: ENT.L)

Q3 2026 Earnings — Analyst Brief · Released 15 Oct 2026 · Currency GBP (£m; USD equivalents at GBP/USD 1.32 shown as ~$). BetMGM reported in USD.

CONFIDENTIAL · INTERNAL
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**Shares -2.6% to 432.6p (~$5.71) shortly after the open and -3.4% to 429.3p (~$5.67) by 12:01 BST on 15 Oct 2026 (implied prior close ~444p / ~$5.86); the Investing.com ticker showed -3.4% intraday. Closing level not verified at time of writing. The stock is -42% year-to-date (from ~744p in January); Deutsche Bank had already cut its target to 872p after the 28 Sep Brazil update.**

THE ONE-LINE VERDICT

An "as guided" quarter with the UK doing all the heavy lifting: Q3 group NGR +2% cc, online +3% (+5% ex-Brazil) and UK&I online +14% on +15% volumes, against a ~4pp drag from customer-friendly football and a -36% Brazil print that precedes a full Q4 wipe-out. FY26 guidance — online NGR +4-6% cc and underlying EBITDA at the lower end of £910-960m (~$1.20-1.27bn) — was reiterated three weeks after being cut to the floor, so the ~3% share-price fall reflects quality-of-growth questions (sports NGR -3%, International online -3%, ex-Brazil International only +1%, a "softer Q4" nod from the CFO) rather than any new estimate change. BetMGM's $86m adjusted EBITDA (+112%) and $68m of cash to parents is the genuine positive surprise.

| GROUP NGR GROWTH (Q3, CC, CONTINUING OPS) | ONLINE NGR GROWTH (Q3, CC) | UK&I ONLINE NGR (Q3, CC) | BRAZIL NGR (Q3, CC) | FY26 UNDERLYING EBITDA GUIDE (EXC. PARENT FEES) | BETMGM Q3 ADJ. EBITDA (100% JV) |
|---|---|---|---|---|---|
| **+2%** | **+3%** | **+14%** | **-36%** | **Lower end of £910-960m (~$1.20-1.27bn)** | **$86m** |
| vs +7% in Q2-26; +5% in Q3-25 | +5% ex-Brazil; gaming +8%, sports -3%; ~4pp sports-margin drag | volumes +15%; gaming +17%, sports +3%; 9M +13% | online ban from 25 Sep; ~5% of planned FY26 online NGR | unchanged vs 28 Sep; was midpoint/£934m (~$1.23bn) consensus in Aug | +112% YoY; NR $710m +7%; $68m cash to parents |

## 1 EXECUTIVE SUMMARY

- **In line, not better:** Q3 group NGR +2% cc (continuing operations, ex-CEE), online +3%, retail -2% — versus Q2's +7%/+8%/+3% and Q3-25's +5%/+6%/+3%. Entain's Q3 trading updates disclose growth rates only; there is no quarterly P&L, so profit visibility rests entirely on the reiterated guidance and the H1-26 base (NGR £2,545.3m / ~$3.36bn; underlying EBITDA £479.3m / ~$633m).
- **Guidance reiterated — but it was already cut to the floor on 28 Sep:** FY26 online NGR +4-6% cc (ex-Brazil at the top end of 5-7%); underlying EBITDA exc. parent fees at the lower end of £910-960m (~$1.20-1.27bn); online EBITDA margin at the lower end of 21-22%. The 13 Aug (H1) guide was online NGR +5-7% and 'comfortable' with the £934m (~$1.23bn) consensus midpoint. The ~£24m (~$32m) step-down is entirely the International division, specifically Brazil.
- **Brazil is the swing division:** Q3 Brazil NGR -36% (Q3-25: -11%; H1-26: -25%) as management pulled back marketing in an 'intensely competitive, highly promotional' market; then on 25 Sep a provisional executive measure withdrew every operator's online licence with immediate effect. Congress has 120 days (plus recess) to ratify. Brazil was expected to be ~5% of FY26 online NGR with modest EBITDA; guidance assumes the ban holds for the rest of 2026. Management expects the market to 'reopen in some form' but will re-enter conservatively.
- **Sports results cost ~4pp of online growth:** customer-friendly football in August and September more than offset July's strong World Cup finish; management puts the Q3 sports-margin headwind at c.1-2pp versus plan, equivalent to ~4% of online NGR growth, while the YoY margin move was only -0.2pp (group) because Q3-25 was itself a weak comparator. Note that online sports wagers were -1% and group wagers only +1% — the volume line in sports was flat before any margin effect, which the release does not dwell on.
- **Gaming is the engine:** online gaming NGR +8% (UK&I +17%, International +1%); 9M online gaming +9%. Gaming is carrying the group while sports NGR is -3% — a mix shift that is margin-positive pre-tax but concentrates growth in the line most exposed to the UK's 40% Remote Gaming Duty (from 1 Apr 2026).
- **UK&I beat expectations:** NGR +8% cc (online +14% on volumes +15%; retail +1%, +3% LFL), with management citing continued market-share gains in both channels. UK&I online has run at +13-15% in every disclosed quarter since Q3-25 (Q3-25 +15%, Q2-26 +14%, Q3-26 +14%; H1-26 +13%) despite a 19-point RGD step-up. UK&I is ~46% of continuing NGR (H1: £1,176.8m / ~$1.55bn).
- **International is weak beyond Brazil:** NGR -4% (online -3%, retail -12%); ex-Brazil online only +1% (9M +2%). Italy -6% (online -5%, retail -8%) on +9% volumes but a -3.1pp sports margin; Australia online +1% (H1 +13%) lapping tough comps; New Zealand, Spain and Canada kept double-digit online growth. International online volumes were -3% — the first negative volume print in the current run.
- **World Cup read-across (group event stats):** the expanded Men's World Cup drove Q2 online NGR +8% cc and first-time depositors double the 2022 tournament; July's strong sports margin was the tail of that, and BetMGM also cited 'successful World Cup' engagement. The event is now fully in the base and Q4 faces the NFL/football calendar without it.
- **BetMGM delivered the quarter's upside surprise:** Q3 net revenue $710m (+7%), iGaming $483m (+6%), online sports $216m (+7%) on handle $3.24bn (+3%) and GGR hold 10.7% (+55bps); contribution $175m (+32%, 24.6% margin); adjusted EBITDA $86m (+112%, 12.1% margin); 9M adjusted EBITDA $185m (+24%). FY26 guidance reiterated at the lower end ($2.9bn NR / $300m adj. EBITDA), which on our arithmetic implies Q4 of at least ~$784m revenue and ~$115m adj. EBITDA.
- **BetMGM cash is now real for Entain:** $68m paid to parents in Q3 ($18m parent fees + $50m distributions), so ~$34m (~£26m) to Entain. Against that, Entain's equity-accounted H1 share of BetMGM profit fell to £19.7m (~$26m) from £33.6m (~$44m) as parent fees moved above the

JV line — more cash, less reported JV profit; Q3 should reverse the profit trend given the EBITDA doubling (Entain's 50% of Q3 adj. EBITDA ≈ $43m / ~£33m).

- **Margins are under tax pressure (H1 base):** underlying EBITDA exc. parent fees £472.6m (~$624m), -3%; online EBITDA margin 21.4% (-3.2pp), UK&I online EBITDA margin 23.1% vs 28.6%; group contribution margin -2.9pp from RGD. The lower-end FY26 guide implies H2 underlying EBITDA exc. parent fees of only ~£437m (~$577m) vs £473m in H1 — two quarters of 40% RGD plus Brazil, partly offset by World Cup marketing roll-off and Brazil marketing savings (our arithmetic).
- **No named cost programme, but mitigation is quantified:** management expects to offset ~25% of the FY26 UK online tax impact; operating costs were held to +3% in H1 (inflation, pay and employer NI, offset by efficiencies); press reports put ~400 Entain customer-care roles at risk. Expect the FY results in March to re-express the cost/cash framework alongside the CEE deconsolidation.
- **Balance sheet:** 30 Jun adjusted net debt £3,598.9m (~$4.75bn), reported leverage 3.1x (flat YoY; look-through incl. 50% BetMGM/DPA was 3.6x at FY25), available liquidity £938.6m (~$1.24bn) with £135m (~$178m) drawn on the RCF. H1 operating cash flow £348.8m (~$460m), net capex £138.3m (~$183m), 'adjusted cashflow' £77.4m (~$102m) vs £151m (~$199m) for all of FY25. Interim DPS 10.3p (~$0.14), +5%, paid 28 Sep.
- **CEE exit on track:** sale of an initial 20% of Entain CEE (SuperSport/STS) to EMMA Capital for €425m (~$476m / ~£361m), implying EV €2.1bn (~$2.35bn, c.10x EBITDA), is expected to close in Q4-26; Entain drops to 47.5% and CEE (H1 NGR £268.9m / ~$355m, EBITDA £94.7m / ~$125m) is deconsolidated. Q3 CEE NGR flat (online +4%, retail -22%). Proceeds from the full exit are earmarked to take reported leverage below 3x, excess to shareholders.
- **£500m (~$660m) 2028 cash target survives — for now:** reiterated, including the 47.5% CEE stake, but CFO Michael Snape said the cash-generation outlook will be 'articulated differently' at FY results. With CEE deconsolidated, BetMGM distributions ramping and UK duty rising, expect a re-basing rather than a simple reaffirmation.
- **UK tax is the macro overhang:** RGD 21%→40% from 1 Apr 2026; remote betting duty to 25% from Apr 2027 (sports is untouched until then); Budget speculation of machine gaming duty 20%→40%. Management cited 630 industry shop closures since last year and third-party estimates of ~1,500 further closures / ~16,000 jobs if MGD doubles. On the H1 run-rate, UK&I retail gaming NGR is ~£525m (~$693m) annualised, so a 20pt MGD rise is mechanically ~£100m (~$130m) before mitigation (our estimate).
- **'Somewhat softer' Q4 flagged by the CFO** after a strong YTD ex-Brazil (+8%); our arithmetic: FY online +4-6% on 9M +5% requires Q4 of roughly +1% to +9% including a ~4-5pp Brazil hole, so the bottom of the range (~+4%) is the realistic landing, with sports margin the swing (Q3-25 reference: a 1-2pp margin miss cost c.£20m / ~$26m of EBITDA in a quarter).
- **Management and strategy:** CEO Stella David and CFO Michael Snape (joined Mar 2026) framed Q3 as the tenth consecutive quarter of online growth. Other call points: three New Zealand licences secured (iGaming growth option), Italy/Eurobet refresh under a new team (AS Roma partnership), BetMGM Alberta launch tracking above Ontario, and a continued shift of BetMGM investment toward iGaming/multi-product states and 'premium mass' sports customers.
- **Share reaction:** -2.6% to 432.6p (~$5.71) at the open and -3.4% to 429.3p (~$5.67) by midday on 15 Oct (implied prior close ~444p); the stock is -42% YTD and Deutsche Bank had already cut its target to 872p after the 28 Sep Brazil update.
- **Thesis read-through:** the equity case is UK share gains + BetMGM cash + CEE monetisation versus UK tax + Brazil + 3x-plus leverage. Q3 strengthens the first two and confirms the third, but International ex-Brazil at +1% and flat sports volumes mean the 'high-quality growth' claim is, for now, a UK&I-only statement. The FY26 number is de-risked at the floor; FY27 (25% GBD, MGD, CEE out) is where estimates remain unsettled.

## 2 GROUP FINANCIAL SUMMARY

| £M / YOY CC UNLESS STATED (~$M AT 1.32) | Q3-26 YOY CC | Q2-26 YOY CC | Q3-25 YOY CC | 9M-26 YOY CC | H1-26 £M (~$M) | H1-26 YOY |
|---|---|---|---|---|---|---|
| **NET GAMING REVENUE — CONTINUING OPS (EX-CEE), CONSTANT-CURRENCY GROWTH** | | | | | | |
| **Group NGR** | **+2%** | **+7%** | **+5%** | **+4%** | **2,545.3 (~3,360)** | **+7% rpt / +5% cc** |
| Online NGR | +3% | +8% | +6% | +5% | 1,846.9 (~2,438) | +9% rpt / +7% cc |
| Online NGR ex-Brazil | +5% | n/d | n/d | +8% | n/d | n/d |
| Retail NGR | -2% | +3% | +3% | flat | 698.4 (~922) | +2% rpt / +1% cc |
| UK & Ireland NGR | +8% | +9% | +8% | +8% | 1,176.8 (~1,553) | +8% |
| International NGR | -4% | +5% | +1% | +1% | 1,368.5 (~1,806) | +7% rpt / +3% cc |
| Entain CEE NGR (discontinued) | flat | +12% | +10% | +1% | 268.9 (~355) | +6% rpt / +2% cc |
| **BY PRODUCT (CONTINUING OPS)** | | | | | | |
| Gaming NGR | +6% | +6% | n/d | +7% | 1,264.7 (~1,669) | +9% |
| Sports NGR [1] Q3-25 figure is online (ex-US) as disclosed in the Q3-25 update. | -3% | +8% | +1%[1] | +1% | 1,211.3 (~1,599) | +6% |
| Sports wagers | +1% | +6% | +5%[1] | +6% | 9,408.3 (~12,419) | +11% |
| Sports margin (YoY move) | -0.2pp (c.-1-2pp vs plan) | +0.4pp | c.-1-2pp vs plan | -0.4pp | n/a | n/a |
| Volume growth (margin-neutral NGR) | +2% | +5% | +7%[1] | +5% | n/a | n/a |
| **PROFITABILITY (NOT DISCLOSED AT Q3 — H1 BASE)** | | | | | | |
| **Underlying EBITDA exc. BetMGM parent fees** | **n/d** | **n/d** | **n/d** | **n/d** | **472.6 (~624)** | **-3%** |
| BetMGM parent fees (revenue = EBITDA) | n/d | n/d | — | n/d | 6.7 (~9) | new in 2026 |
| Underlying EBITDA | n/d | n/d | n/d | n/d | 479.3 (~633) | -2% |
| Underlying EBITDA margin (on NGR) | n/d | n/d | n/d | n/d | 18.8% | -1.8pp |
| Online underlying EBITDA | n/d | n/d | n/d | n/d | 395 (~521) | -5% |
| Online underlying EBITDA margin | n/d | n/d | n/d | n/d | 21.4% | -3.2pp |
| Retail underlying EBITDA | n/d | n/d | n/d | n/d | 142 (~187) | +6% |
| Corporate costs (exc. parent fees) | n/d | n/d | n/d | n/d | (64.3) (~(85)) | -8% |
| Share of JV income (of which BetMGM £19.7m / ~$26m) | n/d | n/d | n/d | n/d | 20.1 (~27) | -41% |
| Separately disclosed items | n/d | n/d | n/d | n/d | (187.0) (~(247)) | vs (205.9) |
| Loss after tax — continuing (IFRS) | n/d | n/d | n/d | n/d | (11.4) (~(15)) | vs (85.8) |
| Diluted EPS — IFRS, continuing | n/d | n/d | n/d | n/d | (1.8)p (~$(0.02)) | vs (14.3)p |
| Adjusted diluted EPS | n/d | n/d | n/d | n/d | 20.3p (~$0.27) | -19% |
| Interim dividend per share | n/d | n/d | n/d | n/d | 10.3p (~$0.14) | +5% |
| **GROUP KPIS** | | | | | | |
| Group average monthly actives Entain does not disclose group actives. BetMGM Q3 average monthly actives 878k (-3%). | n/d | n/d | n/d | n/d | n/d | n/d |
| UK&I share of continuing NGR | n/d | n/d | n/d | n/d | 46% | n/a |
| **CASH & BALANCE SHEET (30 JUN 2026)** | | | | | | |
| Net cash from operating activities (incl. CEE) | n/d | n/d | n/d | n/d | 348.8 (~460) | vs 282.5 |
| Net capital expenditure | n/d | n/d | n/d | n/d | (138.3) (~(183)) | vs (161.5) |
| Adjusted cashflow (company definition) | n/d | n/d | n/d | n/d | 77.4 (~102) | FY25: 151 (~199) |
| **Adjusted net debt** | **n/d** | **n/d** | **n/d** | **n/d** | **3,598.9 (~4,751)** | **FY25: c.3,600** |
| Reported leverage (net debt / LTM underlying EBITDA incl. 100% CEE) | n/d | n/d | n/d | n/d | 3.1x | flat YoY |

| £M / YOY CC UNLESS STATED (~$M AT 1.32) | Q3-26 YOY CC | Q2-26 YOY CC | Q3-25 YOY CC | 9M-26 YOY CC | H1-26 £M (~$M) | H1-26 YOY |
|---|---|---|---|---|---|---|
| Look-through leverage (incl. 50% BetMGM, DPA, CEE NCI) | n/d | n/d | n/d | n/d | n/d | FY25: 3.6x |
| Available liquidity (cash + undrawn RCF) | n/d | n/d | n/d | n/d | 938.6 (~1,239) | RCF drawn £135m (~$178m) |
| **FY26 GUIDANCE (28 SEP 2026; REITERATED 15 OCT)** | | | | | | |
| Online NGR growth (cc) | +4-6% (ex-Brazil: top end of 5-7%) | prior: +5-7% | — | — | — | — |
| Underlying EBITDA exc. parent fees | lower end of £910-960m (~$1,201-1,267m) | prior: midpoint / £934m (~$1,233m) consensus | — | — | — | — |
| Online underlying EBITDA margin | lower end of 21-22% | prior: 21-22% (23-24% incl. CEE at FY25 results) | — | — | — | — |
| Annual adjusted cashflow 2028 (incl. 47.5% CEE) | £500m (~$660m) | reiterated; to be 're-articulated' at FY results | — | — | — | — |

## 3 SEGMENT DEEP-DIVE — UK & IRELAND ONLINE

**+14% NGR on +15% volumes with gaming +17% — share gains are real, but every incremental pound now lands at a 5-7pp lower margin after the 40% RGD.**

### Q3 GROWTH

**UK&I online NGR rose 14% cc on volumes +15%, with gaming +17% and sports +3%; the sports slowdown is luck, not demand.**

- Q2-26 was +14% and Q3-25 +15%; management attributes growth to continued market-share gains in both sports and gaming.
- Gaming NGR accelerated to +17% (Q2 +13%; 9M +14%).
- Sports NGR +3% on wagers +6%; sports margin fell 0.4pp YoY against a Q3-25 comparator flattered by +0.8pp.
- Stripping out margin, sports volume growth of roughly 6-7% is consistent with the first half.
- RNS calls the region 'ahead of expectations'; 9M run-rate of +13% sits comfortably above the group's 4-6% online guide.

### QUALITY OF GROWTH

**Running +13-15% every quarter since Q3-25 while digesting the RGD rise from 21% to 40% supports share being taken, not bought.**

- Drivers cited: native-app upgrade, BetBuilder expansion ahead of the World Cup, gaming 'coin economy' and AI-driven bonus optimisation.
- Entain argues the higher tax regime will squeeze weaker operators; the Q3 volume number is the first hard evidence rather than a hope.
- Management does not disclose UK actives or ARPU, so the volume/value split is not verifiable from the release.

> *"well positioned to capture opportunities as the market adjusts"* — **Management**

### H1 ECONOMICS

**H1 underlying EBITDA fell 8% to £148.0m (~$195m) with margin 23.1% versus 28.6%, a 5.5pp compression with one quarter of 40% RGD.**

- H1 NGR £640.4m (~$845m, +13%); gross profit +1% to £366.4m (~$484m); gross margin 57.2%, -7.3pp as RGD absorbed most growth.
- Marketing +15% to £123.3m (~$163m), 19.3% of NGR (+0.3pp, World Cup phasing).
- Contribution fell 5% to £243.1m (~$321m); contribution margin down 7.5pp to 38.0%; operating costs flat at £95.1m (~$126m).
- Management expects to mitigate roughly 25% of the FY26 tax impact; press reports of ~400 customer-care roles at risk indicate the source.
- Q3 growth mix is gaming-led (+17%), so it carries lower incremental margin than the headline suggests.

### 2027 TAX OUTLOOK

**Remote betting duty rises to 25% from April 2027; FY26 online EBITDA margin guide (lower end of 21-22% vs 25.7% in FY25) prices the growth.**

- Budget speculation on machine gaming duty is largely a retail issue.
- The lobbying line was the most prominent item in the CEO statement, which tells you where they see the risk.
- Our read: volume momentum is genuine and best-in-class among UK incumbents; the top line delivered, the bottom line is set by HM Treasury.

> *"does not start on sports until April next year"* — **CEO**

| UK&I ONLINE — GROWTH CC; H1 £M (~$M) | Q3-26 YOY CC | Q2-26 YOY CC | Q3-25 YOY CC | 9M-26 YOY CC | H1-26 £M (~$M) | H1-26 YOY |
|---|---|---|---|---|---|---|
| **TRADING (CONSTANT-CURRENCY GROWTH)** | | | | | | |
| **Total NGR** | **+14%** | **+14%** | **+15%** | **+13%** | **640.4 (~845)** | **+13%** |
| Volume (margin-neutral) | +15% | +11% | n/d | +13% | n/a | n/a |
| Gaming NGR | +17% | +13% | +14% | +14% | 470.5 (~621) | +13% |
| Sports NGR | +3% | +14% | +19% | +9% | 164.5 (~217) | +12% |
| Sports wagers | +6% | +6% | +7% | +7% | 1,349.0 (~1,781) | +8% |
| Sports margin (YoY move; H1 level) | -0.4pp | +0.9pp | +0.8pp | flat | 13.7% | +0.2pp |
| Other NGR | n/d | n/d | n/d | n/d | 5.4 (~7) | n.m. |
| **ECONOMICS (H1 ONLY — NOT DISCLOSED QUARTERLY)** | | | | | | |
| Gross profit | n/d | n/d | n/d | n/d | 366.4 (~484) | +1% |
| Gross margin | n/d | n/d | n/d | n/d | 57.2% | -7.3pp (RGD) |
| Marketing | n/d | n/d | n/d | n/d | (123.3) (~(163)) | +15% |
| Marketing % NGR | n/d | n/d | n/d | n/d | 19.3% | +0.3pp |
| Contribution | n/d | n/d | n/d | n/d | 243.1 (~321) | -5% |
| Contribution margin | n/d | n/d | n/d | n/d | 38.0% | -7.5pp |
| Operating costs | n/d | n/d | n/d | n/d | (95.1) (~(126)) | flat |
| **Underlying EBITDA** | **n/d** | **n/d** | **n/d** | **n/d** | **148.0 (~195)** | **-8%** |
| Underlying EBITDA margin | n/d | n/d | n/d | n/d | 23.1% | -5.5pp |
| Underlying operating profit | n/d | n/d | n/d | n/d | 116.5 (~154) | -12% |

## 4 SEGMENT DEEP-DIVE — UK & IRELAND RETAIL

**+1% NGR (+3% LFL), ~21% EBITDA margin and stable volumes — a cash cow whose FY27 earnings hinge on the Budget's machine gaming duty decision.**

### Q3 TRADING

**Retail NGR rose 1% cc (+3% like-for-like excluding closures), a steady quarter with stable volumes through a still-pruned estate.**

- Gaming +1%, sports +1% on wagers +1%, sports margin +0.1pp YoY.
- Q2 was flattered by results: +4% NGR with sports +7% on a +1.3pp margin.
- 9M: NGR +1%, wagers +4%, margin -0.1pp; management says the estate continues to outperform the market in sports and gaming.

### H1 FINANCIALS

**H1 underlying EBITDA was £114.1m (~$151m, +2%) at a flat 21.3% margin, roughly 24% of continuing-ops EBITDA from ~21% of NGR.**

- NGR £536.4m (~$708m, +2%); gross profit £387.6m (~$512m); contribution £386.9m (~$511m) at 72.1% margin (+0.2pp).
- Operating costs +2% on shop colleague pay and employer NI increase (annualised end of Q1), partly offset by closures and efficiencies.
- Underlying operating profit +7% to £71.6m (~$95m) as depreciation fell.
- Gaming (machines) £263.1m (~$347m) and sports £264.5m (~$349m) are each about half of NGR.

### MACHINE GAMING DUTY RISK

**A rise in machine gaming duty from 20% to 40% would cost roughly £100m (~$130m) a year before mitigation, ~45% of annualised EBITDA.**

- Management cited 630 industry shop closures since last year and analysis pointing to ~1,500 additional closures and ~16,000 jobs if the rate doubles.
- Shop customers do not simply migrate online, but Entain's estate and brands would be comparatively well placed to gain share from disruption.
- UK&I retail gaming NGR is ~£525m (~$693m) annualised; our estimate, and machine gross win may differ from gaming NGR.
- Mitigation plans exist but are undisclosed.

### OUR VIEW

**Retail holds volumes and generates ~£230m (~$300m) annual EBITDA, but the market will not pay for it until the Budget is known.**

- LFL growth at low single digits is what the estate should deliver.
- Omnichannel linkage with online is a genuine UK differentiator and would become more valuable if competitor shops close.
- Near-term earnings swing from MGD is larger than anything the operating line can deliver.

> *"seamless journey between retail and digital"* — **Management**

| UK&I RETAIL — GROWTH CC; H1 £M (~$M) | Q3-26 YOY CC | Q2-26 YOY CC | Q3-25 YOY CC | 9M-26 YOY CC | H1-26 £M (~$M) | H1-26 YOY |
|---|---|---|---|---|---|---|
| **TRADING (CONSTANT-CURRENCY GROWTH)** | | | | | | |
| **Total NGR** | **+1%** | **+4%** | **+2%** | **+1%** | **536.4 (~708)** | **+2%** |
| LFL NGR (ex store closures) | +3% | n/d | n/d | n/d | n/a | +3% |
| Volume (margin-neutral) | +1% | +1% | n/d | +2% | n/a | n/a |
| Gaming NGR (machines) | +1% | +1% | -2% | +1% | 263.1 (~347) | +1% |
| Sports NGR | +1% | +7% | +7% | +2% | 264.5 (~349) | +2% |
| Sports wagers | +1% | +1% | +3% | +4% | 1,412.4 (~1,864) | +5% |
| Sports margin (YoY move; H1 level) | +0.1pp | +1.3pp | +0.7pp | -0.1pp | 19.4% | -0.3pp |
| Other NGR | n/d | n/d | n/d | n/d | 8.8 (~12) | flat |
| **ECONOMICS (H1 ONLY)** | | | | | | |
| Gross profit | n/d | n/d | n/d | n/d | 387.6 (~512) | +2% |
| Contribution | n/d | n/d | n/d | n/d | 386.9 (~511) | +2% |
| Contribution margin | n/d | n/d | n/d | n/d | 72.1% | +0.2pp |
| Operating costs | n/d | n/d | n/d | n/d | (272.8) (~(360)) | +2% |
| **Underlying EBITDA** | **n/d** | **n/d** | **n/d** | **n/d** | **114.1 (~151)** | **+2%** |
| Underlying EBITDA margin | n/d | n/d | n/d | n/d | 21.3% | +0.1pp |
| Underlying operating profit | n/d | n/d | n/d | n/d | 71.6 (~95) | +7% |

## 5 SEGMENT DEEP-DIVE — INTERNATIONAL (ONLINE & RETAIL; INCL. CEE DISCONTINUED)

**NGR -4% with online -3% and volumes -3%; ex-Brazil online only +1% — Brazil's ban explains the guidance cut, but Italy/Australia explain why the segment isn't growing without it.**

### Q3 OVERVIEW

**International NGR fell 4% cc with online -3% and retail -12%; ex-Brazil online was only +1%, so the business is barely growing.**

- Q2-26 was +5% and Q3-25 +1%; online volumes -3% is the first negative volume print in the current run.
- Online gaming NGR +1%, sports NGR -5% on wagers -2%; online sports margin +0.2pp YoY.
- Ex-Brazil 9M online +2%; 'disciplined' language should be read as a pull-back of Brazilian marketing, not demand recovery elsewhere.
- 9M segment: NGR +1%, online +2%, retail -5%, below the group's 4-6% online guide and far below the UK.

### BRAZIL

**Brazil NGR fell 36% and a 25 September provisional measure withdrew every operator's online licence, driving the online NGR guidance cut to 4-6%.**

- Q3-25 was -11% on +14% wagers; H1-26 -25%; H1 sports wagers still +10%, so engagement spend was cut sharply before the regulatory event.
- Management chose to focus 'on returns rather than share of voice' in an intensely competitive, highly promotional market.
- Congress has 120 days (plus recess) to approve, reject or amend the measure.
- Brazil was expected to be ~5% of FY26 online NGR with modest EBITDA; EBITDA range kept, steered to the lower end.
- Management expects the market to reopen 'in some form' and would re-enter conservatively; not modelled for 2027 upside.

### OTHER MARKETS

**Italy NGR fell 6% despite volumes +9% and Australia online slowed to +1%, while New Zealand, Spain and Canada stayed double-digit.**

- Italy online -5%, retail -8%; customer-friendly football cost 3.1pp of sports margin; Eurobet brand refreshed under a new team with AS Roma partnership.
- Australia +1% versus +13% in H1 as it laps the H2-25 reinvigoration; Q4 question is whether H1 share gains were durable.
- New Zealand +21% cc in H1 with three newly secured licences; Spain +28% cc in H1; Canada +11% cc in H1; Georgia +7% in H1.
- International retail -12%: Italy -8%, smaller Belgian estate, sale of Full House Games; retail sports NGR -7% on wagers +13%, margin -3.2pp.

### H1 COST BASE

**H1 underlying EBITDA was flat at £274.8m (~$363m); Brazil's exit should release Q4 marketing, which is why EBITDA guidance held.**

- NGR £1,368.5m (~$1.81bn, +7% reported / +3% cc); online £1,206.5m (~$1.59bn, +8% / +4% cc); retail £162.0m (~$214m).
- Additional taxes took 1.2pp off gross margin; marketing +13% to ~£208.5m (~$275m), 15.2% of NGR (+0.8pp); online marketing 16.8% (+0.8pp).
- Contribution +1% at £515.3m (~$680m), margin -2.0pp to 37.7%; operating costs +3%.
- Online EBITDA £247.2m (~$326m, -2%, 20.5% margin, -2.0pp); retail EBITDA £27.6m (~$36m, +25%).

CEE DISPOSAL

**Entain CEE was flat in Q3; the 20% sale to EMMA Capital for €425m (~$476m / ~£361m) remains on track to close in Q4.**

- Online +4%, retail -22%; double-digit online growth in Poland offset by adverse sports margin in Croatia; both brands #1 in their markets.
- Implied EV €2.1bn (~$2.35bn, c.10x EBITDA); Entain's stake falls to 47.5% and the business is deconsolidated.
- H1 NGR £268.9m (~$355m), EBITDA £94.7m (~$125m); 9M NGR +1%.
- Full-exit proceeds earmarked for reducing reported leverage below 3x with any excess returned to shareholders.

OUR READ

**International carries the group's regulatory risk and, outside Spain, New Zealand and Canada, does not justify its ~54% share of continuing NGR.**

- Q4 will show a clean ~-100% Brazil comparison and the Australia lap.
- A return to positive ex-Brazil online volume growth is the minimum needed to support the 'top end of 5-7%' ex-Brazil claim.

| INTERNATIONAL — GROWTH CC; H1 £M (~$M) | Q3-26 YOY CC | Q2-26 YOY CC | Q3-25 YOY CC | 9M-26 YOY CC | H1-26 £M (~$M) | H1-26 YOY |
|---|---|---|---|---|---|---|
| **TRADING (CONSTANT-CURRENCY GROWTH)** | | | | | | |
| **Total NGR** | **-4%** | **+5%** | **+1%** | **+1%** | **1,368.5 (~1,806)** | **+7% rpt / +3% cc** |
| Online NGR | -3% | +5% | +1% | +2% | 1,206.5 (~1,593) | +8% rpt / +4% cc |
| Online NGR ex-Brazil | +1% | n/d | n/d | n/d | n/d | n/d |
| Online volume (margin-neutral) | -3% | +4% | +5% | +3% | n/a | n/a |
| Online gaming NGR | +1% | +3% | +4% (total Intl) | +4% | 525.6 (~694) | +9% |
| Online sports NGR | -5% | +7% | -1% (total Intl) | flat | 632.6 (~835) | +7% |
| Online sports wagers | -2% | +7% | +5% (total Intl) | +5% | 5,817.5 (~7,679) | +14% |
| Online sports margin (YoY move; H1 level) | +0.2pp | +0.2pp | -0.7pp (total Intl) | -0.3pp | 13.8% | -0.7pp |
| Retail NGR | -12% | +1% | +6% | -5% | 162.0 (~214) | +2% rpt / -2% cc |
| Retail sports NGR | -7% | +4% | n/d | -2% | 149.7 (~198) | +3% |
| Retail sports wagers | +13% | +5% | n/d | +7% | 829.4 (~1,095) | +8% |
| Retail sports margin (YoY move; H1 level) | -3.2pp | flat | n/d | -1.7pp | 18.0% | -1.0pp |
| **BY MARKET (NGR, CC)** | | | | | | |
| Australia online | +1% | n/d | n/d | n/d | n/d | +13% cc (H1) |
| Italy total (online / retail) | -6% (-5% / -8%); volumes +9%; sports margin -3.1pp | n/d | n/d | n/d | n/d | +2% cc (+3% / -1%) |
| Brazil | -36% | n/d | -11% (wagers +14%) | n/d | n/d | -25% cc (wagers +10%) |
| New Zealand online | double-digit | n/d | n/d | n/d | n/d | +21% cc (H1); retail +29% |
| Spain online | double-digit | n/d | n/d | n/d | n/d | +28% cc (H1) |
| Canada online | double-digit | n/d | n/d | n/d | n/d | +11% cc (H1) |
| Georgia online | n/d | n/d | n/d | n/d | n/d | +7% cc (H1) |
| **ECONOMICS (H1 ONLY)** | | | | | | |
| Marketing (derived: GP − contribution) | n/d | n/d | n/d | n/d | (208.5) (~(275)) | +13% |
| Marketing % NGR (online: 16.8%) | n/d | n/d | n/d | n/d | 15.2% | +0.8pp |
| Contribution | n/d | n/d | n/d | n/d | 515.3 (~680) | +1% |
| Contribution margin | n/d | n/d | n/d | n/d | 37.7% | -2.0pp |
| **Underlying EBITDA — total** | **n/d** | **n/d** | **n/d** | **n/d** | **274.8 (~363)** | **flat** |
| Underlying EBITDA — online (margin 20.5%, -2.0pp) | n/d | n/d | n/d | n/d | 247.2 (~326) | -2% |
| Underlying EBITDA — retail (margin 17.0%) | n/d | n/d | n/d | n/d | 27.6 (~36) | +25% |
| **ENTAIN CEE (DISCONTINUED; 20% SALE CLOSING Q4-26)** | | | | | | |
| CEE NGR | flat | +12% | +10% | +1% | 268.9 (~355) | +6% rpt / +2% cc |
| CEE online NGR | +4% | +16% | +9% | +6% | 234.5 (~310) | +11% |
| CEE retail NGR | -22% | -13% | +11% | -22% | 34.4 (~45) | -19% |
| CEE underlying EBITDA | n/d | n/d | n/d | n/d | 94.7 (~125) | flat |

## 6 SEGMENT DEEP-DIVE — BETMGM (50/50 JV WITH MGM RESORTS; EQUITY-ACCOUNTED)

**Adj. EBITDA $86m (+112%) and $68m of cash to parents on net revenue +7% — a cost-discipline and hold story on a 3% smaller active base.**

### Q3 RESULTS

**Net revenue was $710m (+7%) and adjusted EBITDA more than doubled to $86m (+112%), a cost-discipline story rather than top-line leverage.**

- 9M net revenue $2,116m (+5%); iGaming $483m (+6%), online sports $216m (+7%), retail/other $11m.
- EBITDA margin 12.1% versus 6.1%; 9M $185m (+24%), already above the $150m earned in 9M-25.
- Contribution +32% to $175m (24.6% margin, +4.7pp).
- Q3 revenue was flat on the H1 quarterly run-rate (~$703m); the EBITDA step-up from ~$50m H1 quarterly average is the real change.

### IGAMING

**iGaming remains the franchise with 20% GGR share in active markets, actives +2%, NGR per active +4% and Q3 contribution above $135m.**

- Game of Thrones launch across the US, Ontario and Alberta was described as the most successful franchise launch in BetMGM's history.
- Borgata brand refresh lifted average daily actives 28%; progressive SideBet jackpot in MI/WV and live-streamed slots in NJ/PA differentiate from aggregators.
- Alberta July launch, the first newly regulated iGaming market since 2022, is tracking above Ontario on per-player metrics.
- Entain supplies the platform and exclusive studio content, an endorsement of the Entain technology stack; H1 iGaming contribution was $280m.

### ONLINE SPORTS

**Handle was $3.24bn (+3%) with growth hold-driven; promotions rose to ~4.0% of handle from ~3.7% while actives fell to 878k (-3%).**

- GGR hold 10.7% (+55bps), NGR hold 6.7% (+30bps); Nevada handle +8%.
- Handle per active +13% and NGR per active +18% imply sports actives down high-single digits; 9M actives 909k (-5%).
- GGR share 8% in OSB and 14% blended.
- Management said acquisition environment has 'improved a lot' since the World Cup, with CPAs down and payback periods the best since the turn of the year.
- Macquarie (per NEXT.io) flagged acquisition returns at their best in several quarters and stable share despite lower OSB marketing.

### CASH TO ENTAIN

**BetMGM paid $68m to parents in Q3 ($18m fees, $50m distributions), so Entain's half is ~$34m (~£26m).**

- Parent fees started in 2026 and flow to Entain as revenue/EBITDA, £6.7m (~$8.8m) in H1.
- Adjusted EBITDA less capex ($4m in Q3) is a reasonable proxy for cash to parents.
- Entain's H1 share of BetMGM profit was £19.7m (~$26m) versus £33.6m (~$44m) in H1-25, reflecting parent fees and a more competitive market.
- Q3 should mark a sharp improvement; Entain's 50% of Q3 adjusted EBITDA is ~$43m (~£33m).

### GUIDANCE

**Guidance was reiterated at the lower end of $2.9-3.1bn revenue and $300-350m EBITDA, requiring Q4 of ~$784m and ~$115m respectively.**

- A seasonally strong NFL/NBA quarter makes the revenue hurdle reasonable; the EBITDA hurdle is demanding but achievable if the Q3 cost base holds.
- The $500m adjusted EBITDA ambition is now 'in the coming years'; delivery may extend beyond 2027 if prediction-market disruption and competitive intensity persist.
- MGM reports on 28 October and will give the first read on Q4 trading.

### OUR VIEW

**This is the best-quality number in the Entain print, but a margin story on a shrinking active base with hold- and promo-dependent OSB.**

- The iGaming moat (20% share, exclusive content, omnichannel via MGM Rewards and Nevada) is intact and why the JV is worth more than its P&L.
- OSB is being managed for cash, the right call at 8% share but it caps the growth multiple.
- Prediction markets remain the unquantified wildcard.

| BETMGM — 100% JV BASIS, US$M (ENTAIN OWNS 50%) | Q3-26 $M | Q3-25 $M | YOY | 9M-26 $M | 9M-25 $M | 9M YOY |
|---|---|---|---|---|---|---|
| **NET REVENUE** | | | | | | |
| iGaming | 483 | 454 | +6% | 1,447 | 1,345 | +8% |
| Online sports | 216 | 202 | +7% | 647 | 624 | +4% |
| Retail / other | 11 | 11 | +5% | 23 | 46 | -50% |
| **Total net revenue** | **710** | **667** | **+7%** | **2,116** | **2,016** | **+5%** |
| **ONLINE SPORTS KPIS** | | | | | | |
| Handle (cash + bonus bets) | 3,240 | 3,159 | +3% | 10,948 | 10,674 | +3% |
| GGR hold % | 10.7% | 10.1% | +55bps | 9.8% | 9.3% | +60bps |
| NGR hold % | 6.7% | 6.4% | +30bps | 5.9% | 5.8% | +5bps |
| Promo intensity (GGR − NGR hold, % handle; derived) | ~4.0% | ~3.7% | +c.25-30bps | ~3.9% | ~3.5% | +c.40-55bps |
| Handle per active | n/d | n/d | +13% | n/d | n/d | H1: +11% |
| OSB NGR per active | n/d | n/d | +18% | n/d | n/d | H1: +9% |
| Nevada OSB handle | n/d | n/d | +8% | n/d | n/d | H1: +10% |
| **IGAMING KPIS** | | | | | | |
| iGaming average monthly actives | n/d | n/d | +2% | n/d | n/d | n/d |
| iGaming NGR per active | n/d | n/d | +4% | n/d | n/d | n/d |
| iGaming contribution | 135+ | n/d | n/a | n/d (H1: 280) | n/d | n/a |
| **PROFITABILITY & CASH** | | | | | | |
| Contribution (gross profit less marketing) | 175 | 133 | +32% | 462 | 440 | +5% |
| Contribution margin | 24.6% | 19.9% | +4.7pp | 21.8% | 21.8% | flat |
| **Adjusted EBITDA (pre parent fees)** | **86** | **41** | **+112%** | **185** | **150** | **+24%** |
| Adjusted EBITDA margin | 12.1% | 6.1% | +6.0pp | 8.7% | 7.4% | +1.3pp |
| Capital expenditure | 4 | 3 | +1 | 26 | 29 | -3 |
| Parent fees (to MGM + Entain) | 18 | — | +18 | 36 | — | +36 |
| Total cash to parents (fees + distributions) | 68 (18 + 50) | n/d | n/a | n/d | n/d | n/a |
| Entain 50% share of adj. EBITDA (derived) | ~43 (~£33m) | ~21 | +112% | ~93 (~£70m) | ~75 | +24% |
| **CUSTOMERS & MARKET POSITION** | | | | | | |
| Average monthly actives (000s) | 878 | 902 | -3% | 909 | 957 | -5% |
| GGR share — total / iGaming / OSB | 14% / 20% / 8% | n/d | n/a | H1: 13% / 20% / 8% | n/d | n/a |
| **FY26 GUIDANCE (100% BASIS)** | | | | | | |
| Net revenue | $2.9-3.1bn — lower end | — | — | implied Q4 ≥ ~784 | — | — |
| Adjusted EBITDA | $300-350m — lower end | — | — | implied Q4 ≥ ~115 | — | — |
| Long-term adj. EBITDA ambition | $500m 'in the coming years' (may extend beyond 2027) | — | — | — | — | — |

## 7 HIGHLIGHTS & LOWLIGHTS

### ▲ HIGHLIGHTS

- UK&I online +14% cc on +15% volumes with gaming +17% — a fourth consecutive double-digit quarter while absorbing the 21%→40% RGD step-up; management cites continued market-share gains and the release calls it 'ahead of expectations'. structural
- BetMGM adjusted EBITDA $86m (+112%), contribution margin +4.7pp to 24.6%, 9M adj. EBITDA $185m (+24%), and $68m of cash to parents in the quarter (~$34m / ~£26m to Entain) — the JV is now a cash contributor, not a funding call. structural
- Online gaming NGR +8% group-wide (9M +9%), with New Zealand, Spain and Canada all double-digit and three new NZ licences adding an iGaming option — the growth base beyond the UK is narrow but real. structural
- The ~4pp sports-margin drag is luck, not demand: group sports margin was only -0.2pp YoY against a weak Q3-25 comp, and ex-Brazil online volumes were +7%; normalised online growth would have been ~+7%. one-off
- Guidance held after the Brazil shock: ex-Brazil FY26 online NGR expected at the top end of 5-7% (9M +8%), and the EBITDA range (£910-960m / ~$1.20-1.27bn) survived because Brazil carried little profit and its marketing is now switched off. mixed
- CEE 20% sale (€425m / ~$476m, EV €2.1bn / ~$2.35bn, c.10x EBITDA) on track to close in Q4 — a value crystallisation at a multiple well above Entain's own, with proceeds directed at deleveraging. one-off
- UK retail LFL +3%, H1 retail EBITDA +6% at a 21% margin, and UK&I retail contribution margin 72% — the estate remains a reliable cash generator ahead of any duty change. structural

### ▼ LOWLIGHTS

- Brazil NGR -36% in Q3, then zero from 25 Sep under a provisional ban: ~5% of planned FY26 online NGR gone, guidance assumes no reopening in 2026, and management will re-enter only conservatively if Congress amends or rejects the measure. structural
- International online ex-Brazil grew only +1% (9M +2%), with online volumes -3%: Italy -6% (online -5%), Australia decelerated to +1% from +13% in H1 — the growth story outside the UK is Spain/NZ/Canada and little else. mixed
- Sports volumes are flat before any margin effect — online sports wagers -1%, group +1% — and sports NGR -3%; the gaming-led mix (+8%) concentrates growth in the most heavily taxed product line. watch
- EBITDA guidance is now at the floor: lower end of £910-960m (~$1.20bn) vs the £934m (~$1.23bn) consensus management was 'comfortable' with on 13 Aug; H2 implied ~£437m (~$577m) vs £473m in H1 as two quarters of 40% RGD bite. UK&I online EBITDA margin already 23.1% vs 28.6%. structural
- UK tax escalation is open-ended: remote betting duty to 25% from Apr 2027 and Budget speculation on machine gaming duty 20%→40% (mechanically ~£100m / ~$130m p.a. on UK retail gaming NGR before mitigation — our estimate); the CEO statement led with a plea to government, which tells you the scale of the exposure. governance
- Leverage: reported 3.1x (look-through 3.6x at FY25) with net debt £3.6bn (~$4.75bn); CEE deconsolidation lifts pro-forma reported leverage toward ~3.4-3.5x on the lower-end EBITDA guide (our estimate), and the £500m (~$660m) 2028 cash target is to be 'articulated differently' at FY results — read: re-based. watch
- BetMGM growth is price, not volume: average monthly actives -3% (9M -5%), OSB revenue +7% driven by +55bps GGR hold, promo intensity up ~25-30bps of handle, and the $500m EBITDA ambition has slipped from 2027 to 'the coming years'. mixed
- Disclosure: no quarterly P&L, no group actives/ARPU, no Q3 marketing or margin data — a 1-2pp sports-margin miss cost c.£20m (~$26m) of EBITDA in Q3-25 by management's own account, and investors cannot see the Q3-26 equivalent until March. watch

## 8 FORECAST & OUTLOOK

**Guidance bridge.** The guidance bridge is three-stage, and the division is International/Brazil at every step. At FY25 results (5 Mar 2026) Entain guided FY26 online NGR +5-7% cc and an online EBITDA margin of 23-24% (incl. CEE). With the CEE exit (25 Jun) the group re-based to continuing operations: underlying EBITDA exc. parent fees £910-960m (~$1.20-1.27bn) and online margin 21-22% (CEE out, ~25% UK-tax mitigation in); at H1 (13 Aug) it said it was 'comfortable' with the £934m (~$1.23bn) consensus midpoint. On 28 Sep, three days after Brazil's provisional online ban, online NGR growth was cut to 4-6% (ex-Brazil at the top end of 5-7%) and both EBITDA and online margin were steered to the lower end of their ranges, Brazil having been ~5% of expected online NGR with modest EBITDA. The 15 Oct update reiterated the 28 Sep guide without change, so the Q3 print carries no new estimate revision — the ~£24m (~$32m) cut versus August consensus was already taken. BetMGM's $2.9-3.1bn / $300-350m ranges were likewise reiterated at the lower end.

| FY26 ONLINE NGR GROWTH (CC) | FY26 UNDERLYING EBITDA EXC. PARENT FEES | FY26 ONLINE UNDERLYING EBITDA MARGIN | BETMGM FY26 (100% JV) |
|---|---|---|---|
| **+4-6% (ex-Brazil: top end of 5-7%)** | **lower end of £910-960m (~$1,201-1,267m)** | **lower end of 21-22%** | **NR $2.9-3.1bn; adj. EBITDA $300-350m — lower end** |
| was +5-7% (5 Mar / 13 Aug); cut 28 Sep on Brazil ban; reiterated 15 Oct — International/Brazil | was midpoint / £934m (~$1,233m) consensus (13 Aug); ~-£24m (~-$32m), Brazil-driven | was 21-22% (25 Jun, ex-CEE); 23-24% incl. CEE at 5 Mar | unchanged; 9M $2,116m / $185m → Q4 ≥ ~$784m / ~$115m implied |

**Independent view. Q4-26 (estimate):** we expect group online NGR growth of roughly -1% to +2% cc including Brazil, and +4-6% ex-Brazil. 9M is +5% with Brazil still in the base; the Q4-25 base carries a full quarter of Brazil (~4-5% of online NGR by our estimate, hence a ~4-5pp drag), and the CFO explicitly flagged a 'somewhat softer' Q4 as Australia laps its reinvigoration and UK comps toughen. **FY26 online NGR therefore lands at ~4% cc — the bottom of the 4-6% range — with ex-Brazil at ~7%** (9M +8% ex-Brazil × ~0.74 weight + Q4 ~+4-5% × ~0.26 ≈ 7.0%). A normal-margin Q4 is the main swing: a 1-2pp sports-margin miss cost c.£20m (~$26m) of EBITDA in Q3-25 by management's account. **FY26 underlying EBITDA exc. parent fees: we model ~£905-920m (~$1.19-1.21bn)**, i.e. the lower end — H2 implied at the floor is ~£437m (~$577m) vs H1 £473m (~-8% HoH), reflecting two quarters of 40% RGD (vs one in H1) partly offset by World Cup marketing roll-off, Brazil marketing savings and the ~25% tax mitigation; the H1 online margin of 21.4% should settle at ~21% for the year. **Margin:** group underlying EBITDA margin ~18% on ~£5.0bn (~$6.6bn) of continuing NGR (FY25 continuing base is our estimate), vs 18.8% in H1 and ~20.6% in H1-25. **Leverage — direction down on look-through, optically flat-to-up on reported:** reported 3.1x at June; the CEE 20% proceeds (~£361m / ~$476m in Q4) take net debt to ~£3.24bn (~$4.3bn), but deconsolidation removes ~£180-190m (~$240-250m) of annual CEE EBITDA from the denominator, so pro-forma reported leverage ex-CEE is ~3.4-3.5x on the lower-end guide (estimate); the sub-3x target depends on the remaining 47.5% exit. BetMGM distributions (~$25m/quarter to Entain at the Q3 rate) plus parent fees (~$9m/quarter) are the incremental cash positives; the interim dividend (10.3p / ~$0.14, ~£66m / ~$87m) and ~£108m (~$142m) of half-year interest are the fixed calls. **FY27:** the 25% remote betting duty from April 2027 and any MGD change are not in guidance; we expect the £500m (~$660m) 2028 cash target to be re-expressed at FY results in March — most likely on an ex-CEE, including-BetMGM-distributions basis — and FY27 consensus to drift lower on UK duty until the Budget is known.

**What to watch next quarter:**

- UK Autumn Budget: machine gaming duty (20%→40% speculation), any further RGD/GBD changes, and Entain's quantified mitigation and shop-closure plan.
- Brazil: the Congressional vote within the 120-day window (runs to late January 2027), reopening terms, and whether Entain re-enters — guidance assumes no 2026 revenue.
- Q4 sports margins through the football/NFL calendar — the single largest swing factor for landing at £910m; management's Q3-25 sensitivity was c. £20m (~$26m) of EBITDA per 1-2pp miss in a quarter.
- CEE 20% completion in Q4, the restated continuing-ops base and leverage definition at FY results, and timing/pricing of the remaining 47.5% exit.
- MGM Resorts Q3 results (28 Oct): BetMGM Q4 run-rate, actives trend, Alberta ramp, prediction-market exposure and the $115m Q4 adj. EBITDA hurdle.
- International ex-Brazil online volumes turning positive; Australia's lap of H2-25; Italy sports margin normalisation and the Eurobet relaunch.
- FY results (March 2027): the re-based cash-flow target, FY27 guidance incorporating GBD at 25%, and UK&I online EBITDA margin trajectory after a full year at 40% RGD.
- Consensus: FY26 EBITDA needs to settle at ~£910m (~$1.2bn); watch for FY27 cuts on tax rather than on Q3 trading.

**DATA CONFIDENCE: MEDIUM** FX: GBP/USD 1.32 as of 15 Oct 2026 (Trading Economics 1.3243; OFX 1.3221); EUR/USD 1.12 (OFX, 15 Oct 2026). All Q3-26 Entain figures are constant-currency growth rates from the 15 Oct RNS — Entain's Q3 trading update contains no P&L, so every absolute £ figure (NGR, EBITDA, margins, marketing, net debt, cash flow, EPS) is from the H1-26 interim results (13 Aug 2026) and is labelled as such; Q3 EBITDA/profit are 'n/d'. BetMGM figures are company-reported, unaudited estimates (per its own disclaimer). Q3-25 comparators are from the Q3-25 RNS/transcript. Call commentary (softer Q4, MGD lobbying numbers, NZ licences, £500m re-articulation) is sourced from secondary transcript summaries (Investing.com, MarketBeat, NEXT.io) — the full transcript could not be read. Discrepancies: NEXT.io reported Q3 online NGR ex-Brazil +8% and International online gaming -5%/sports -2%; the RNS states +5% ex-Brazil (8% is the 9M figure) and gaming +1%/sports -5% — company figures used. Unverified/estimated: closing share price on 15 Oct; FY25 continuing-ops NGR/EBITDA base and CEE annual EBITDA (~£180-190m); pro-forma leverage post-CEE; machine-gaming-duty exposure (~£100m); Q4 implied growth arithmetic; promo intensity for BetMGM derived as GGR hold minus NGR hold. BetMGM 50% share and cash-to-Entain figures are derived (50% of disclosed JV totals).

**Sources:** [Primary] Entain plc — Q3 2026 Trading Update, RNS 0222Z (15 Oct 2026) — primary; [Primary] Entain plc — 2026 Interim Results, RNS 4877Q (13 Aug 2026): H1 P&L, segment tables, cash flow, net debt — primary; [Primary] BetMGM Q3 2026 Business Update (13 Oct 2026), via Entain RNS on Investegate — primary; [Primary] Entain plc — 'Entain maintains FY26 EBITDA guidance despite Brazil's ban on online betting', RNS 5332W (28 Sep 2026), via TradingView/Reuters — primary; [Primary] Entain plc — 2025 Q3 Trading Update (15 Oct 2025) and call transcript — primary (comparatives, sports-margin sensitivity); [Primary] Entain plc — 2025 Full Year Results (5 Mar 2026) — primary (FY25 base, original FY26 guidance, look-through leverage); [Secondary] Entain Q3 2026 trading statement call transcript — GuruFocus (secondary; headline only accessible); [Secondary] Investing.com — 'Earnings call transcript: Entain posts 10th straight quarter of online growth in Q3 2026' (secondary; call summary); [Secondary] MarketBeat — 'What Entain (ENT) Said on Its Q3 Earnings Call' (secondary; MGD, £500m target, softer Q4 commentary); [Secondary] Investing.com — 'Entain shares fall nearly 3% as Brazil slump tempers third-quarter growth' (secondary; share price); [Secondary] European Gaming — 'Entain posts 2% NGR growth in Q3 as UK&I online jumps 14%' (secondary; share price, analyst targets, Brazil ~5% of online NGR); [Secondary] NEXT.io — 'Q3 2026: UK online surge pushes Entain net gaming revenue up 2%' (secondary; note ex-Brazil and International product figures differ from RNS); [Secondary] NEXT.io — 'BetMGM shifts focus to higher-value US markets amid rising competition' (secondary; BetMGM call colour, Macquarie); [Secondary] Yogonet — 'BetMGM Q3 adjusted EBITDA doubles to $86

million' (secondary; Citizens commentary); [Secondary] CasinoBeats — 'BetMGM more than doubles adjusted EBITDA as actives fall 3%' (secondary); [Secondary] Gaming Intelligence — 'Entain benefits from UK and Ireland growth in Q3 2026' (secondary; paywalled, headline only); [Secondary] iGaming Future — 'Entain FY26 EBITDA: Guidance Held Despite Brazil Ban' (secondary; 28 Sep corroboration); [Secondary] Trading Economics — GBP/USD 15 Oct 2026 (FX reference); [Secondary] OFX — EUR/USD historical rate 15 Oct 2026 (FX reference).

*Research analysis only — not a rating, price target, or personalised investment advice. Prepared for internal executive review.*